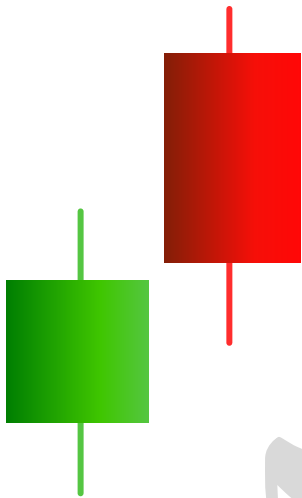


Pattern 5

DARK CLOUD COVER & PIERCEING

DARK CLOUD COVER

Dark cloud cover is a two candle pattern. Here, the market is in a bull trend and forms multiple bull candles. Following one such bull candle is a bear candle such that the open of the candle is higher than the previous candle's body but the close is within the range of the previous candle's body i.e. between the open and close. This indicates a probable trend reversal.



PIERCEING

The bull version of the same is called a piercing. The market here is in a bear trend and following one of the bear candles is a bull candle such that it opens below the previous day's close but closes between the open and close of the previous day.

